BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter of

Consolidated Edison Company of New York, Inc.

Case Cases 25-E-0072, 25-G-0073

MAY 30, 2025

Prepared Testimony of:

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Q. Please state your full name, current title, and your professional affiliation?

A. My name is Dario Quinsac, Director of Operations for State Senator Robert Jackson.

Q. Do you have any experience drafting legislation related to the New York utility industry?

A. Yes, some bills have passed both legislative chambers.

Q. Have you participated in other public service commission proceedings?

A. I have participated in the previous electric rate proceeding 22-E-0064 and article 7 proceedings ex: 22-T-0558.

Q. What is the purpose of your testimony?

A. I respectfully submit this testimony to oppose Con Edison’s proposed increases in the allowed Return on Equity (ROE) and Return on Investment (ROI) in its 2025 rate case, and to discuss the extensive capital and operating & maintenance (O&M) expansion requests including significant

customer operations staffing increases. This testimony will review the following points: The requested financial returns exceed industry norms for a low risk, regulated utility. The proposed capital and staffing expenditures are based on overly optimistic projections lacking third party verification and rigorous cost benefit analysis. Con Edison's clean energy investments, including electric vehicle adoption and building electrification, have successfully reduced operational risk and should in fact support a lower required return on capital. I have reviewed Con Edison's May 2025 Investor Presentation, customer operations panel updates (including adjustments to arrears management, call center staffing, and meter/billing resources), the updated gas forecasting testimony, and other documentation available to party intervenors. Together, these materials indicate that the financial returns requested will impose an undue burden on ratepayers.

Q. What are the main financial metrics from Con

Edison's investor materials?

A. Based on Con Edison's May 2025 Investor Presentation: Total assets are approximately $71 billion. Market capitalization is around $39 billion. The Company maintains strong credit ratings (e.g., Baa1, A-, BBB+ with a stable outlook). Con Edison operates with a predictable, low risk, regulated revenue model in line with the other similarly situated utilities, where allowed ROE typically ranges between 9% and 10%.

Q. How does the regulatory framework impact the allowed returns?

A. The regulatory framework currently guarantees utilities a profit while they have low to no risks.

Q. Do you think current state laws shift the balance in favor of the utilities?

A. No, Common Equity Ratios and Rate of Return should be set by Public Service Commission as a generic case, while also placing risk on shareholders.

Q. What types of capital and O&M expansions has Con Edison proposed?

A. Con Edison has submitted proposals for major investments including: an Arrears Management Program (CO-03) aimed at reducing arrears across approximately 500,000 customer accounts, with a current arrears balance near $1.4 billion; a Contact Center Staffing and Training Program (CO-04) focused on adding roughly 236 additional customer service representatives plus supervisors and training staff to handle increased call volumes and complexity and a Meter and Billing Resources Program (CO-05) to expand back-office operations for improved billing accuracy, following extensive technological and operational improvements that have already reduced estimated billing rates from 12.1% in 2018 to 1.5% in 2024. These billing improvements were also incentivized by the billing metric that was implemented in the previous rate case.

Q. How do Con Edison's requested returns compare with industry peers?

A. Regulated utilities, given their predictable and stable nature, normally earn returns in the 9%–10% range. Historical data confirm that companies like Con Edison that operate in a quasi-monopolistic market have rarely been allowed returns above that level. Con Edison's request for an elevated ROE exceeds these established norms, implying an excessive profit margin that would result in higher customer rates.

Q. What is the effect of an elevated ROE on customer rates?

A. A higher allowed ROE increases a utility's revenue requirement, and these additional revenues are in the end recovered through higher customer rates. Such increases tend to disproportionately affect low income and disadvantaged consumers, thereby compromising affordability and the recovery of residential arrears.

Q. Why does an inflated ROI add further cost risk to ratepayers?

A. An elevated assumed ROI is used to justify aggressive capital spending. However, the projected cost savings from these investments have not been verified by third parties. Some capital expenditures from previous rate case have shown that the Company prefers to front load investments instead of spreading the costs over a longer period. If actual returns fall short of the projections, the shortfall will be recovered through higher rates, thus directly imposing extra costs on customers.

CUSTOMER OPERATIONS

Arrears Management Program

Q. What does the Arrears Management Program propose?

A. The program requests approximately $102.9 million in O&M (Operations and Maintenance) funding over the 2025–2029 rate years to hire 278 additional full-time representatives. Its goal is to address arrears affecting

approximately 500k customers with a total arrears balance of about $1.4 billion by expanding both field collection efforts and digital outreach.

Q. What concerns do you have about this program?

A. The Company's Q1 2024 digital outreach campaigns processed over 136k payments at a monthly cost of only approximately $40k showing substantial cost efficiency and savings. Initial labor estimates were too high. The reduction in non-labor expenses (such as uniforms and SMS costs) further suggests that the overall funding request was highly overestimated relative to actual needs.

Contact Center Staffing and Training Program

Q. What does the Contact Center Staffing and Training Program seek to achieve?

A. Con Edison has requested about $168.104 million to support the hiring of approximately 236 additional CSRs, along with supervisors and training personnel, to manage the significant

rise in inbound call volumes (approximately a 12% increase from 2023) and to address growing complexity in customer inquiries related to arrears and billing issues.

Q. What are the shortcomings of this proposal?

A. There is insufficient evidence linking the proposed staffing increases to tangible improvements in service quality, such as reduced wait times or higher first-call resolution rates. Digital outreach channels, which are already operational and highly efficient, may reduce the need for such extensive live agent staffing. A phased approach that ties new hires to measurable performance targets would be more appropriate than a large immediate expansion.

Meter and Billing Resources (CO 05)

Q. What is the objective of the Meter and Billing Resources program?

A. This program seeks an additional $70.126 Million over 2025–2029 in OM funding to hire 129 FTEs to

improve billing accuracy and resolve complex meter issues through (AMI) and the new (CC&B) system.

Q. Why do you deem this request excessive?

A. IT investments have already reduced the estimated billing rate substantially (from 12.1% to 1.5%). As reported in Estimated and Delayed Billing Metrics Q1 2025 for 22-E-0064 The marginal benefits of further hiring in this area appear minimal, as continued improvements may instead be achieved through additional automation and process enhancements rather than solely with increased labor. Careful evaluation is required to ensure that more staffing directly leads to further reductions in delayed or estimated bills.

Q. How have recent legislative mandates like Senate Bill S4234A/2023 affected the Company’s staffing and operational planning?

A. New legislative measures now require utility corporations like Con Edison to render bills to residential and small commercial customers

within three months, down from six months. These more ratepayer friendly deadlines require Con Edison to get their system more robust and accurate while not overburderning ratepayers, especially those that don't have the tools to analyze the complex billing structure the company has implemented. Con Edison must be prepared to increase staffing levels in meter and billing resources and further streamline its billing processes using enhanced and tested automation. However this doesn't justify an outsized O&M increase when balanced against proven technologies used by their peers.

Q. What contingency measures are in place if customer arrears do not decline as projected?

A. If arrears reduction goals are not met, the Company's current plan includes a dynamic approach to staffing. Non-union staff should not be automatically hired, in-house union labor if available should be used when appropriate. If not possible the Company should invest in digital channels.

NRAs and EAMs

Q. How do negative revenue adjustments protect ratepayers?

A. They help ensure that ratepayers are not overcharged for poor performance, while still rewarding shareholders. When a utility fails to achieve the performance standards it committed to, negative adjustments reduce the revenue requirement and indirectly the revenue requirements. Essentially, they act as a financial clawback against investments or returns that aren't backed by true ratepayer success.

Q. What is the concern with implementing earnings adjustment mechanisms that are not directly linked to the company's performance?

A. As previously mentioned by our office in rate case 22-E-0064 our position is that if earnings adjustments are determined using factors that are not directly under the utility's control—as

in the case of metrics associated with light duty vehicle performance or managed charging outcomes they become arbitrary are more prone to not be actual goals that the Company will have a hard time achieving. These factors can be influenced heavily by external market conditions, subsidies, tariffs, tech innovations, or regulatory changes that do not reflect the company's core service delivery or operational efficiency. As a result, such these EAMs may unfairly penalize or reward the utility, misaligning incentives and potentially shifting undue costs onto ratepayers.

Q. What are the benefits of shifting NYPA support costs to NYPA PassNY rates for both NYPA customers and Con Edison ratepayers?

A. Shifting NYPA support costs to NYPA PassNY rates benefits NYPA customers by ensuring that the expenditures for specialized billing, data reconciliation, and customer support are directly recovered by those benefiting from the service. This targeted cost recovery helps

prevent cross-subsidization, where ratepayers in other segments of Con Edison's portfolio might otherwise bear part of NYPA's unique costs. For Con Edison, isolating these costs simplifies its overall rate filings and improves transparency; costs tied directly to NYPA are then recovered through a dedicated mechanism rather than diluting the general revenue base, resulting in a clearer picture of financial responsibility across customer groups.

Q. What is the overall impact on rate design when NYPA's costs are allocated via passNY rates?

A. When NYPA's specific costs are allocated through a passNY rate mechanism, the overall rate design becomes more equitable and transparent. It ensures that NYPA and its customers pay for the tailored support required by their complex billing and metering needs. Meanwhile, Con Edison's broader customer base is not burdened with costs that are unique to NYPA's specialized operations.

Q. Should the ROE range above the WSJ Prime Rate?

A. No, it should hover between the Fed Funds rate and 50 basis points above the most recent bond issuance.

Q. Does this conclude your testimony?

A. Yes.